

Satyabrata Ghose v. Mugneeram Bangur & Co.

Citation: 1954 SCR 310 / AIR 1954 SC 44 | Court: Supreme Court | Year: 1954

Coram: 3-Judge Bench (B.K. Mukherjea J.) | Subject: Contracts & Civil | Provisions: Indian Contract Act Sec 56

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Section 56 of the Indian Contract Act is an exhaustive statutory code on the Doctrine of Frustration (supervening impossibility). Frustration occurs when an unexpected supervening event destroys the commercial substratum of the contract, not by mere financial difficulty or market delay.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Indian Contract Act Sec 56. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€ Whether the impugned state actions or commercial conduct conformed to Indian Contract Act Sec 56.
- â€ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

The English common law theory of implied terms does not apply in India. Impossibility under Section 56 does not mean mere physical impossibility; it extends to supervening impracticability where performance becomes fundamentally different from what was agreed.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€ Established Section 56 as an exhaustive statutory code on frustration.
- â€ Ruled that commercial difficulty, inflation, or delay does NOT constitute frustration.
- â€ Foundational authority cited in all force majeure and impossibility disputes.